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Childcare State Audit Preparation Toolkit

Practical toolkit for three childcare audit types: licensing inspections, subsidy billing audits, and complaint investigations. Checklists included.

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- ☐ Confirm attendance dates match room records.
- ☐ Mark ratio notes that support licensing review.
- ☐ Attach subsidy claim evidence before filing.
- ☐ Keep guardian and pickup updates with the child record.

The Three Types of Childcare State Audits

Most directors think of audits as a single event. In practice, childcare programs face three structurally different review types, each triggered by different circumstances, conducted by different agencies, and requiring different documentation.

Licensing inspections are conducted by your state's childcare licensing division. They check whether your program meets the conditions of its license: staff-to-child ratios, physical environment standards, staff credential requirements, and child file completeness. Licensing inspections can be routine (annual or semi-annual checks required for all licensed programs) or complaint-driven (triggered by a report from a parent, staff member, or neighbor).

Subsidy billing audits are conducted by your state's CCDF administering agency or an auditor they hire. They review your billing claims against your attendance records, authorization documents, and co-payment collection documentation for a specific period, typically covering the past 12 to 36 months. Federal oversight of state CCDF programs has increased audit frequency and the depth of review in recent years.

Complaint investigations are triggered by a formal complaint to the licensing agency about a specific incident or practice. They are focused reviews — the investigator is following up on a specific allegation — and the documentation they need depends on the nature of the complaint. Complaint investigations can overlap with licensing inspections if the investigator finds additional concerns during the visit.

Understanding which type of audit you are facing changes how you prepare. A subsidy billing auditor has no interest in your fire drill logs. A licensing inspector is not reviewing your billing claims. Getting the documentation right for each type saves time and avoids the situation where you hand an auditor a stack of records they did not request and that draws attention to areas outside the original review scope.

Universal Documentation Checklist

These documents are required across all three audit types. Keep them current, organized, and accessible to the director at all times. Do not wait for an audit notice to locate them.

For every enrolled child:

- ☐ Signed enrollment agreement with parent/guardian name, address, phone, and emergency contacts.
- ☐ Authorized pickup list, signed and dated by the parent/guardian. Update this document immediately when custody or household situations change.
- ☐ Current immunization records showing vaccinations meet your state's schedule. Track booster due dates for each child.
- ☐ Allergy and medical condition documentation with a specific action plan for each allergy (what to do, which medication if any, emergency contact).
- ☐ Signed authorization for emergency medical treatment.
- ☐ Custody and court order documentation if applicable. If parents are separated and there is a custody order affecting pickup rights, you need a copy on file and staff need to know what it says.

For every staff member:

- ☐ Background check clearances: state criminal record, FBI fingerprint, sex offender registry, and child abuse registry. Know the expiration date for each.
- ☐ Health assessment or TB test results, with the date of the most recent test and the next required renewal.
- ☐ CPR and First Aid certification showing expiration date. At least one certified staff member must be present at all times; know who that is for each shift.
- ☐ Professional development records for the past three years: training topic, date, provider, and hours.

Facility documents:

- ☐ Current childcare license, posted visibly in the facility.
 - ☐ Most recent fire inspection certificate with expiration date.
 - ☐ Most recent health/sanitation inspection certificate.
 - ☐ Current liability insurance certificate.
 - ☐ Emergency preparedness plan (fire, severe weather, medical emergency, lockdown).
 - ☐ Incident and accident report log for at least the past 24 months.
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Licensing Inspection Checklist

Licensing inspectors follow a structured protocol. Most states publish their inspection tool or monitoring form — if yours does, download it and use it as your pre-inspection checklist. Inspectors are checking the same items every time.

Ratio documentation:

- ☐ Verify room-by-room staff-to-child ratios at the time of the inspection. Do not assume the inspector will arrive during your best-staffed moment.
- ☐ Have a daily ratio tracking log available showing counts throughout the day. Inspectors will ask to see documentation that ratios were maintained, not just verified at the moment of their arrival.
- ☐ Know the ratio requirement for each age group in each room. Inspectors will ask staff, not just the director. Brief your staff on the ratios for their specific rooms.
- ☐ Confirm that the director is not being counted toward ratio unless physically supervising children. Being in the building is not sufficient.
- ☐ Verify that mixed-age rooms are operating under the ratio for the youngest age group present.

Staff credential verification:

- ☐ Pull staff files the day before an anticipated inspection or as part of monthly maintenance. Verify that all background checks are current (not expired).
- ☐ Verify CPR/First Aid certifications for every staff member. If a certification expires this month or next month, initiate renewal now.
- ☐ Check professional development hour totals for each staff member. Many states require meeting the annual training hour requirement by a specific date.
- ☐ Confirm that any staff member hired in the past 90 days has a completed background check on file before they have unsupervised child contact.

Physical environment walkthrough (do this yourself before any inspection):

- ☐ Walk every room and check that all exits are unobstructed.
- ☐ Verify smoke detectors are present, mounted, and showing current inspection dates where required.
- ☐ Check that cleaning chemicals, medications, and sharp objects are in locked storage out of children's reach.
- ☐ Inspect outdoor play equipment for broken components, sharp edges, or loose hardware. Document the inspection.
- ☐ Verify fencing integrity around the outdoor play area.
- ☐ Check food storage and kitchen cleanliness. If you participate in CACFP, verify that posted menus match what is actually being served.
- ☐ Confirm that infant sleep areas meet current safe sleep standards: no bumpers, no loose bedding, firm mattresses, no soft objects in sleep space.
- ☐ Verify that emergency numbers, evacuation routes, and your license are posted in visible locations.

Record review preparation:

- ☐ Organize child files alphabetically. Inspectors may pull random files; disorganized files slow the inspection and create an impression of poor recordkeeping overall.
- ☐ Confirm that the incident/accident log is up to date and does not have unexplained gaps.
- ☐ If you accept subsidies, have a sample of attendance records from the past 30 days available without needing to search for them.

Subsidy Billing Audit Checklist

Subsidy billing audits are document-intensive reviews. The auditor is looking for specific records covering a specific period. Your job is to produce those records quickly, completely, and in an organized format.

Before the auditor arrives:

- ☐ Identify which period the audit covers. Request this in writing if not already provided.
- ☐ Pull all subsidy billing records for that period: billing claims submitted, payments received, and remittance documentation.
- ☐ Pull attendance records for all subsidized children for the audit period. Verify that attendance records are complete — no missing days, no entries without timestamps.
- ☐ Pull authorization documents for every subsidized child with enrollment during the audit period, including expired authorizations if the period straddles an authorization renewal.
- ☐ Pull co-payment documentation for the period if your state requires provider-collected co-payments.
- ☐ Organize records by child name, then by billing period within each child's folder.

During the audit:

- ☐ Designate one person (typically the director or billing staff) as the point of contact for the auditor. Do not have multiple staff members answering auditor questions independently.
- ☐ Provide requested records promptly. Delays in producing records extend the audit and signal disorganization.
- ☐ If an auditor asks about a specific child or period and you cannot immediately locate the record, say so and provide a specific time by which you will locate it. Do not guess.
- ☐ Take notes on every record the auditor requests and every finding they mention during the visit. You will need this if you dispute findings later.

After the audit:

- ☐ Request a copy of any preliminary findings before the auditor leaves if possible.
- ☐ Review every finding against your own records. Identify whether each finding is a documentation gap, a billing error, or a disagreement about the rule that applies.
- ☐ Respond to the formal audit report within the deadline provided. Late responses are typically treated as agreement with the findings.
- ☐ For any required repayment, request a repayment plan if the full amount is not immediately available. Most state agencies offer installment arrangements.

Complaint Investigation Preparation

Complaint investigations are different from routine audits in one key way: they are focused on a specific allegation, which means the investigator already has some information about what they are looking for. Your documentation needs to address the specific allegation directly.

When you receive notice of a complaint investigation:

- ☐ Ask the investigator what the investigation covers. You may not get specifics, but you can ask whether the investigation relates to a specific child, a specific staff member, a specific incident, or a general practice.
- ☐ Pull all documentation related to the time period and person(s) involved. Do not edit, delete, or reorganize these records after receiving notice of an investigation.
- ☐ Notify the affected staff member(s) that an investigation is underway, that they should not discuss the matter with other staff, and that they should direct any questions from the investigator to the director.

Documentation that protects your program:

- ☐ Incident/accident reports for the relevant period, complete with dates, times, descriptions, witness names, and parent notification documentation.
- ☐ Attendance records showing which children and staff were present during the period in question.
- ☐ Ratio documentation for the relevant dates.
- ☐ Any written communications with the family involved, including enrollment agreements, policy acknowledgments, and any prior complaints or concerns the family raised.

What not to do:

- Do not contact the complainant directly during an active investigation unless the investigator instructs you to do so.
- Do not attempt to collect statements from other parents or staff to “support your side.” This can appear as witness interference.
- Do not make changes to policies or procedures and then claim they were already in effect. Investigators will check your documentation history.

If the complaint involves an allegation of abuse or neglect by a staff member, you may have mandatory reporting obligations even as the subject of the investigation. Know your state's mandatory reporter requirements for center directors before you need them.

State-Specific Documentation Requirements

New York. Six-year record retention for subsidy billing records. County-administered, so the specific forms and submission requirements vary by county. New York City programs operate under ACS requirements; programs outside the city operate under their county's Department of Social Services. Keep separate files by county program.

Maryland. Biweekly attendance verification creates a large volume of billing periods per year. Each period must be documented separately. Given that audits can cover 36 months, a Maryland subsidy billing audit may involve 78 separate biweekly billing periods.

California. County-administered like New York. The state's child care subsidy portal (California Child Care Portal) is the primary submission system for most counties, but some counties have local portal requirements. Verify which system your county uses and retain electronic submission confirmation records.

Washington. Electronic attendance via KinderConnect is mandatory. Paper sign-in sheets are not acceptable documentation for subsidy billing claims. If KinderConnect records are lost or inaccessible, recovery may be possible through the state system, but the responsibility for complete records lies with the provider.

North Carolina. Paper-based record submission is still required for some provider types. Keep originals. If you have a dispute about a billing period, the paper record is the authoritative document.

Minnesota. Six-year retention for subsidy billing records, matching New York as the longest state requirement.

Texas. TX3C electronic attendance system records are the official attendance documentation for subsidy billing. Maintain your TX3C records alongside your billing claims and ensure they are backed up.

Tennessee. Absence limits are stricter than most states. A single overbilled absence day — billing for an absent day after reaching the state's monthly limit — triggers a billing error

finding. Track absence counts weekly, not monthly.

Connecticut, North Carolina, Oregon. Approximately one-year state retention requirement, but federal CCDF requirements of five years supersede state minimums for providers accepting federal funds. Keep records for five years regardless of state minimum.

Staff Briefing Template

When an inspector or auditor arrives, your staff's response in the first five minutes shapes the entire interaction. Staff who are calm, know their roles, and direct questions appropriately make audits faster and less stressful. Staff who answer questions they should not, retrieve records without authorization, or appear uncertain about basic requirements create problems.

Brief your staff at least once per year on the following:

When an inspector or auditor arrives:

“When someone arrives and identifies themselves as a state inspector or auditor, please follow these steps:

1. Greet them politely and ask them to sign in.
2. Immediately notify [Director Name] before the inspector enters the program area.
3. Continue supervising children. Do not leave children to assist the inspector — that is the director's job.
4. If the inspector speaks to you directly, you may answer questions about your name, your role, and which children you are supervising. For any other question, tell the inspector you will get the director.
5. Do not retrieve files, records, or documentation without the director's instruction.
6. Do not discuss specific children, families, staff incidents, or billing practices with the inspector.”

On ratios:

“You should always know how many children you are responsible for and what ratio applies in your room. If an inspector asks you, be accurate — do not round up or estimate. If you are uncertain, say ‘I need to check the attendance sheet’ rather than guessing.”

After the inspection:

“Please do not discuss what the inspector asked about or what they may have found with parents, other staff, or anyone outside the program. The director will communicate with staff about findings and next steps.”

Post this briefing in the staff break room, include it in new staff onboarding, and review it at the start of each licensing renewal period.

Post-Audit Action Plan

An audit with findings is not a final verdict. How you respond to findings affects the long-term licensing relationship with your state agency.

Within 48 hours of receiving findings:

- ☐ Read every finding carefully. Identify which findings you agree with and which you believe are incorrect.
- ☐ For findings you agree with: document the corrective action you will take and the timeline.
- ☐ For findings you believe are incorrect: gather the documentation that contradicts the finding and prepare a written response.
- ☐ Contact the agency if any finding is unclear. Do not guess at what they are asking for.

Responding to the findings report:

- ☐ Submit your response within the required deadline. Late responses are treated as agreement with all findings.
- ☐ Organize your response finding-by-finding. Match your response to each numbered finding in the agency's report.
- ☐ For corrective actions, describe specifically what you changed, when you changed it, and how you will prevent recurrence. Vague responses ("we will improve our processes") are insufficient. Specific responses ("we implemented a daily ratio tracking log, template attached, completed by the lead teacher at 9am, 12pm, and 3pm daily") demonstrate the change has already happened.
- ☐ For disputed findings, present your evidence clearly and cite the specific regulation or rule you believe the finding misapplied.

Tracking compliance over time:

- ☐ Build a findings log that captures: date, finding type, corrective action taken, date corrected, and verification method.
- ☐ Review the findings log before your next licensing renewal. If the same finding type recurs across multiple inspections, the corrective action was not effective and the system needs to change.
- ☐ Share a summary of findings and corrections with your staff. Staff who understand why a finding happened are better positioned to prevent recurrence than staff who are simply told "we need to do better."